Fixing the Economy Starts with Workers' Rights

In the wake of the 2024 election, the economy was the number one priority for voters during this election. Americans are suffering from inflation and price gouging, and the indifference of their political leaders only contributes to their frustrations. Trump took advantage of these fears and frustrations to make Americans feel seen and heard. However, the policies that the Trump administration has proposed for the next four years will not address the root causes of these economic challenges. Corporations take advantage of government inaction to underpay and overwork their employees while making record-breaking profits. We must protect workers' rights to ensure that every American can afford to not only live, but thrive.

To fully understand how labor unions can improve the economy, we must use a systems thinking approach. Systems thinking provides a framework for analyzing complex problems by examining how different components interact within a more extensive system. According to Systems Thinking authors, Cabrera and Cabrera, using the DSRP model, Distinctions, Systems, Relationships, and Perspectives, we can break down labor unions' role in the economy (2015, p. 117, 118). Distinctions help us define the boundaries between strong and weak unions. Systems allow us to see unions as interconnected structures involving workers, employers, and policies. Relationships highlight how unions impact wages, economic stability, and corporate behavior. Perspectives reveal how stakeholders, workers, employers, and policymakers view unions' role in economic progress. Additionally, systems thinking identifies reinforcing feedback loops that influence worker power over time. Reinforcing loops amplify specific trends over time, creating either virtuous cycles of improvement or vicious cycles of decline. Applying these concepts, we can better understand why labor unions are essential for a fair and thriving economy.

A systems thinking approach allows us to see the economy not as a set of isolated problems but as an interconnected system where labor policies, wages, and corporate practices shape economic outcomes. Despite stock market record highs and lower inflation rates, 52% of Americans say they and their family are worse off today than they were four years ago. People are responding to the metrics that directly relate to their everyday experiences, like consumer price increases and wage stagnation. For example, the stock market has seen unprecedented growth, but only 6 in 10 Americans own stocks, and more than half of workers do not have an employer-sponsored retirement plan. Housing costs and rents affect how Americans perceive the economy, as homeownership is becoming increasingly unaffordable for many. The high cost of borrowing, especially mortgages, disproportionately affects lower- and middle-income families. These economic pressures are symptoms of deeper systemic imbalances that require structural solutions.

Many conversations about the economy focus on restoring U.S. manufacturing jobs, calling for the days when even unskilled labor offered decent pay and benefits. Instead of restoring manufacturing jobs, we should look at the current parts of our workforce that receive the lowest wages: service workers. Unlike manufacturing, manual service work will always require people; AI and automation cannot replace those jobs. However, people who work these "unskilled" jobs are underpaid with no benefits and no paid sick or holiday leave. From a systems thinking perspective, these jobs are a crucial but undervalued part of the economic system. To make the economy work for everyone, we must raise the minimum wage, mandate employer-provided benefits for full-time workers, and improve working conditions.

Employers don't give out fair wages and benefits, and we cannot wait for their benevolence to fix the economy. Workers have to fight for better jobs through union organizing

and collective bargaining. Individual workers have little ability to make change, but together, they have more leverage against their employer to negotiate not only better pay but better conditions. Using a systems thinking lens, unions function as a critical part of the labor system, redistributing power and ensuring fair compensation. The difference between a union job and a non-union job can be the ability to buy a home, start a family, pay off student loans, and save for retirement. According to the AFL-CIO, union workers make 11.2% more than nonunion workers, 27% more receive employer-provided health insurance, and 34% more receive retirement benefits. For women and people of color, the benefits of union jobs are amplified, as they are paid up to 39% more compared to non-union workers because of union contract protections. Union contracts are powerful tools to fight unequal pay and structural racism by creating fair and transparent systems for hiring, firing, wages, and other employment aspects.

Despite union benefits, few American workers belong to a union. According to Pew Research, compared to 1983, when 20.1% of American workers were union members, only 10% of American workers were in a union in 2023. However, at least 48% of workers would vote to unionize their workplace if they could, and union support in the last few years has only been growing. A gap exists between workers' union interest and their workplace unionization success. Exploitation of the National Labor Relations Act by employers, starting in the 1970s, created the gap by undermining worker protections. Employers continue to suppress unionization through coercive and aggressive opposition. EPI research reveals that employers are accused of breaking federal law during 41.5% of union elections.

Using the relationship dynamic of loops outlined by Cabrera and Cabrera, we can look at how unions function in a larger system. A negative feedback loop can model the system: as union power declines, workers lose bargaining leverage, leading to stagnating wages and

deteriorating conditions, making unionization efforts even more difficult (Cabrera and Cabrera, 2015, p. 147). In contrast, another reinforcing feedback loop exists when unions successfully organize: higher unionization rates lead to better wages and working conditions, encouraging more workers to join unions and further strengthening worker power. However, corporations and policy decisions act as external pressures that can weaken, or strengthen these loops. We can also think about these dynamics in terms of stocks and flows. The "stock" in this system is the total number of unionized workers, while the "flow" is the rate of new unionization efforts or the decline due to employer suppression (Cabrera and Cabrera, 2015, p. 148). When policies favor unionization, the flow increases, filling the stock and reinforcing union strength. When labor laws are weak or corporations aggressively oppose unions, the stock drains, weakening unions and reducing worker power. Strengthening labor laws increases the flow of unionization and stabilizes worker power.

American workers need policy change to provide a meaningful right to a union and collective bargaining for all. Currently, a lack of civil monetary penalties for companies that violate federal labor laws means there is little incentive for employers to obey the law and respect their employees' right to organize. The laws should be changed to provide a financial disincentive for violating workers' right to organize. Penalties for breaking labor laws should give meaningful compensation for workers whose rights were violated beyond just back pay. Labor laws should also be expanded to apply to all workers. As it stands now, agricultural, domestic, and service workers remain excluded from collective bargaining laws under federal law. At the state level, repealing "right-to-work" laws would fully restore bargaining rights for private sector workers. While some progress has been made at the state level, both federal and state governments need to strengthen labor laws and intervene in attacks against union rights.

From a systems perspective, stronger labor laws would increase flow, shifting the economic system toward greater stability and fairness. If policymakers are serious about improving the economy for working-class Americans, we must build an economy that works for everyone, one where workers and unions are protected. Unions improve American jobs and ease economic worries by securing better wages, working conditions, and benefits. Congress and state legislatures must implement policies that protect the right to a union and empower unions to secure better jobs for all Americans. The future of our economy depends on the power of the people, and our laws should reflect that.

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